

STMicroelectronics

Improving Visibility Supports Material FY27 Upside

Material upside potential to consensus

Ahead of Q3 (Oct 29), we see a more attractive risk/reward for STM than at any point in the past several quarters. Expectations have been reset, management commentary has remained constructive, and underlying end-market trends continue to improve. We believe a combination of cyclical recovery, high-margin datacenter and LEO growth, and disciplined cost control could drive meaningful earnings upside versus consensus, with **our FY27 EPS estimate ~20% above consensus**.

1) Q4 guide likely above normal seasonality

We expect **STM to guide Q4 revenues up c10% q-o-q (UBSe +12% vs. consensus +10%)**, ahead of normal seasonality of ~7%. Key drivers include robust automotive demand from customers such as Tesla and Mobileye, improving demand from European OEMs, a strong datacenter ramp, and continued industrial recovery. We also see scope for **Q4 gross margin guidance of ~38.5% (UBSe 38.3%, consensus 38.1%)**, implying **EBIT potentially ~10% above consensus in Q4 2026**.

2) Datacenter approaching 15% of revenues by 2027E

We [forecast silicon photonics revenues](#) reaching ~\$2.0bn in 2027E and ~\$2.5bn in 2028E, supported by deployment trends and accelerating adoption. Combined with AI power products, **we estimate total datacenter revenues of ~\$2.5bn in 2027E, above management's current target of "well above \$2bn"**, representing ~14% of group sales. By 2028E, we forecast datacenter revenues rising to ~\$3.8bn, or ~19% of group sales. While we see upside potential to these estimates, **we do not expect management to revise its medium-term guidance at this stage**.

3) Margin recovery increasingly in focus

We expect a gradual recovery in gross margins through 2027E, with gross margin exceeding 40% by Q3 2027E. Further upside could emerge if demand in silicon photonics and silicon carbide develops faster than expected.

Valuation: €80 DCF-based price target (WACC 9%, g 2%)

STM trades on **17x/11x P/E for 2027E/2028E, below its historical average forward multiple of ~18x**, despite our expectation for ~56% EPS CAGR over 2026-29E. We believe the improving earnings trajectory, datacenter exposure, and margin recovery support further re-rating potential.

Equities

France

Semiconductors

12-month rating **Buy**

12m price target **€80.00**

Price (24 Sep 2026) **€44.88**

RIC: STMPA.PA BBG: STMPA FP

Trading data and key metrics

52-wk range	€69.39-18.81
Market cap.	€39.2b/US\$44.6b
Shares o/s	874m (ORD)
Free float	73%
Avg. daily volume ('000)	2,644
Avg. daily value (m)	€130.9
Common s/h equity (12/26E)	US\$18.5b
P/BV (12/26E)	2.5x
Net debt to EBITDA (12/26E)	NM

EPS (UBS, diluted) (USD)

	UBS	Cons.
12/26E	1.40	1.36
12/27E	3.16	2.70
12/28E	4.63	3.90

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Highlights (US\$m)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Revenues	17,286	13,269	11,799	14,614	17,959	20,105	22,072	23,959
EBIT (UBS)	4,611	1,676	543	1,316	3,488	5,114	5,868	6,592
Net earnings (UBS)	4,211	1,558	534	1,302	2,930	4,296	4,929	5,538
EPS (UBS, diluted) (US\$)	4.46	1.66	0.58	1.40	3.16	4.63	5.31	5.97
DPS (net) (US\$)	0.25	0.24	0.35	0.26	0.28	0.31	0.34	0.38
Net (debt) / cash	3,156	3,231	2,789	2,634	4,594	8,031	11,374	16,039
Profitability/valuation	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
EBIT (UBS) margin %	26.7	12.6	4.6	9.0	19.4	25.4	26.6	27.5
ROIC (EBIT) %	36.4	11.6	3.6	8.2	20.7	29.2	31.8	34.0
EV/EBITDA (UBS core) x	6.5	8.9	8.9	12.1	7.3	5.8	5.3	4.8
P/E (UBS, diluted) x	10.4	22.0	44.5	37.0	16.2	11.0	9.6	8.6
Equity FCF (UBS) yield %	4.4	1.0	1.3	2.2	5.0	8.3	8.2	11.2
Dividend yield (net) %	0.5	0.7	1.3	0.5	0.6	0.6	0.7	0.7

Source: Company accounts, LSEG Eikon, UBS estimates. Metrics marked as (UBS) have had analyst adjustments applied. Valuations: based on an average share price that year, (E): based on a share price of €44.88 on 24-Sep-2026

UBS MODEL

Our Q3'26 revenue estimate sits c2% above guidance and consensus, while gross margin is in line. For the full year 2026, we estimate revenues to grow c24% y-o-y (cons 22%), and gross margin to reach 36.4% (cons roughly in line). As a result, we sit 6% above consensus adj. EBIT 2026E.

Figure 1: STMicro UBSe vs consensus

USDm	Q3 '26E			Q4 '26E		2026E		2027E			2028E		
	Guide	UBSe	Cons.	UBSe	Cons.	UBSe	Cons.	UBSe	Cons.	UBS vs cons	UBSe	Cons.	UBS vs cons
New segments													
Analog products, MEMS and Sensors (AM&S)		1,547	1,505	1,562	1,556	5,853	5,808	6,463	6,487		7,067	7,083	
Power and discrete products (P&D)		480	498	515	521	1,848	1,866	2,409	2,223		2,705	2,490	
Embedded Processing (EMP)		1,269	1,222	1,360	1,320	4,751	4,650	6,093	5,538		6,825	6,154	
RF & Optical Communications (RF&OC)		483	513	808	694	2,145	2,056	2,977	2,888		3,491	3,643	
Revenues	3,700	3,782	3,728	4,250	4,111	14,614	14,406	17,959	17,176	4.6%	20,105	19,334	4.0%
% y-o-y	16.1%	18.7%	17.0%	27.7%	23.5%	23.9%	22.1%	22.9%	19.2%		11.9%	12.6%	
Gross profit		1,399	1,379	1,629	1,566	5,313	5,214	7,406	6,837		9,102	8,442	
% margin	37.0%	37.0%	37.0%	38.3%	38.1%	36.4%	36.2%	41.2%	39.8%	143bps	45.3%	43.7%	161bps
Opex		-982	-1,004	-987	-1,021	-3,972	-4,026	-3,918	-4,020		-3,988	-4,194	
Divisional EBIT													
Analog products, MEMS and Sensors (AM&S)		232	202	281	235	818	745	1,293	1,008		1,413	1,415	
% margin		15.0%	13.4%	18.0%	15.1%	14.0%	12.8%	20.0%	15.5%		20.0%	20.0%	
Power and discrete products (P&D)		-72	-90	-52	-83	-307	-351	548	-108		676	351	
% margin		-15.0%	-18.0%	-10.0%	-15.9%	-16.6%	-18.8%	22.7%	-4.9%		25.0%	14.1%	
Embedded Processing (EMP)		254	237	340	273	984	903	1,913	1,278		2,389	1,714	
% margin		20.0%	19.4%	25.0%	20.7%	20.7%	19.4%	31.4%	23.1%		35.0%	27.8%	
RF & Optical Communications (RF&OC)		153	133	223	188	531	467	334	689		1,236	1,161	
% margin		31.7%	26.0%	27.5%	27.1%	24.7%	22.7%	11.2%	23.9%		35.4%	31.9%	
Other		-150	-123	-150	-124	-710	-563	-600	-385		-600	-320	
% margin		-3604%	-2890.7%	-3676.5%	-3158.3%	-4399.0%	-3279.0%	-3644.6%	-2386.4%		-3573.1%	-2155.1%	
EBIT		416.9	373.3	642.3	538	1,316	1,167	3,488	2,718	28.3%	5,114	4,170	22.6%
% margin		11.0%	10.0%	15.1%	13.1%	9.0%	8.1%	19.4%	15.8%	360bps	25.4%	21.6%	387bps
EBIT adj.		418.9	412	644	582	1,503	1,421	3,496	2,939	18.9%	5,122	4,313	18.8%
% margin		11.1%	11.1%	15.2%	14.2%	10.3%	9.9%	19.5%	17.1%	235bps	25.5%	22.3%	317bps
Net Income		349	342	538	473	1,145	1,070	2,924	2,422		4,290	3,579	
Net Income Clean		350	374	539	502	1,302	1,263	2,930	2,505		4,296	3,676	
EPS dil.		0.38	0.37	0.58	0.51	1.23	1.19	3.15	2.63	19.9%	4.62	3.89	18.7%
EPS dil. Clean		0.38	0.41	0.58	0.54	1.40	1.37	3.16	2.71	16.3%	4.63	4.00	15.9%

Source: UBS estimates, Visible Alpha, Company data

We show our detailed estimates by sub divisions:

Figure 2: Datacenter and LEO estimates

	2024	2025	2026E	2027E	2028E	2029E	2030E
Power AI	10	50	300	500	1,281	1,400	1,500
y-o-y		400%	500%	67%	156%	9%	7%
SiPho	150	350	800	2,000	2,519	3,000	3,500
y-o-y		133%	129%	150%	26%	19%	17%
Datacenter	160	400	1,100	2,500	3,800	4,400	5,000
y-o-y		150%	175%	127%	52%	16%	14%
LEO	426	600	1,052	1,233	1,278	1,400	1,500
y-o-y		41%	75%	17%	4%	10%	7%
Total structural growth drivers	586	1,000	2,152	3,733	5,078	5,800	6,500
y-o-y		71%	115%	74%	36%	14%	12%
% of revenues		8%	15%	21%	25%	26%	27%
Other/ Core		10,799	12,463	14,226	15,027	16,272	17,459
y-o-y			15%	14%	6%	8%	7%
Group revenues	13,269	11,799	14,614	17,959	20,105	22,072	23,959
y-o-y		-11%	24%	23%	12%	10%	9%
Cons revenues			14,398	17,170	19,327	21,004	22,527
UBSe vs cons			2%	5%	4%	5%	6%

Source: UBSe

VALUATION

Our price target remains unchanged.

Figure 3: STMicroelectronics UBS DCF valuation summary

Dec Yr End	Actual								Projections				
\$m	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027	2028	2029	2030
Revenue	9,665	9,556	10,219	12,761	16,128	17,286	13,269	11,799	14,614	17,959	20,105	22,072	23,959
% change y-o-y	15.8%	-1.1%	6.9%	24.9%	26.4%	7.2%	-23.2%	-11.1%	23.9%	22.9%	11.9%	9.8%	8.5%
EBIT adj.	1,422	1,203	1,323	2,419	4,439	4,611	1,676	543	1,503	3,496	5,122	5,876	6,600
margin %	14.7%	12.6%	12.9%	19.0%	27.5%	26.7%	12.6%	4.6%	10.3%	19.5%	25.5%	26.6%	27.5%
D&A	791	854	923	1,045	1,216	1,561	1,760	1,854	2,192	2,335	2,212	2,097	2,276
% of sales	8.2%	8.9%	9.0%	8.2%	7.5%	9.0%	13.3%	15.7%	15.0%	13.0%	11.0%	9.5%	9.5%
EBITDA adj.	2,213	2,057	2,246	3,464	5,655	6,172	3,436	2,397	3,695	5,830	7,334	7,973	8,876
margin %	22.9%	21.5%	22.0%	27.1%	35.1%	35.7%	25.9%	20.3%	25.3%	32.5%	36.5%	36.1%	37.0%
Cash tax	-95	-155	-160	-331	-519	-540	-312	-220	-209	-557	-817	-938	-1,054
tax rate %	6.7%	12.9%	12.1%	13.7%	11.7%	11.7%	18.6%	40.5%	13.9%	15.9%	16.0%	16.0%	16.0%
NWC	-294	-276	47	-65	-321	-98	-718	-4	-108	-562	-405	-1,194	-441
Capex	-1,262	-1,174	-1,278	-1,828	-3,524	-4,112	-2,642	-1,843	-2,192	-2,514	-2,413	-2,207	-2,396
% of sales	13.1%	12.3%	12.5%	14.3%	21.9%	23.8%	19.9%	15.6%	15.0%	14.0%	12.0%	10.0%	10.0%
FCF	562	452	856	1,240	1,291	1,422	-236	330	1,187	2,198	3,699	3,633	4,985
Discounted FCF	0	0	0	0	0	0	0	0	0	2,103	3,247	2,926	3,684

DCF Summary (USDm)	
Enterprise Value	84,050
Net Cash (Debt)	2,252
Market Value (\$m)	86,302
EUR:USD	1.16
Market Value (€m)	74,398
No of shares	928
Per share (€)	80.0

Assumptions (normalised year)	
Revenue g %	2%
EBIT margin %	15%
Capex % of sales	8%
D&A % of sales	8%
Tax rate	16%

WACC Calculation	
Equity Beta	1.5
Rf	1.9%
ERP	4.7%
Ke	9.0%
WACC	9.0%

Value beyond 2031 as % of EV	72,089 85.8%
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Source: Company data, UBS estimates

UBS MODEL FOR STMICROELECTRONICS

Figure 4: UBS model - STMicroelectronics - Income statement (\$m)

USDm	2020	2021	2022	2023	2024	2025	Q1 '26	Q2 '26	Q3 '26E	Q4 '26E	2026E	2027E	2028E
Revenues	10,219	12,761	16,128	17,286	13,269	11,799	3,095	3,487	3,782	4,250	14,614	17,959	20,105
% y-o-y	6.9%	24.9%	26.4%	7.2%	-23.2%	-11.1%	23.0%	26.1%	18.7%	27.7%	23.9%	22.9%	11.9%
Cost of goods	-6,430	-7,435	-8,493	-8,999	-8,048	-7,801	-2,050	-2,272	-2,383	-2,621	-9,326	-10,553	-11,003
Gross profit adj.	3,789	5,326	7,635	8,287	5,221	3,998	1,056	1,229	1,399	1,629	5,313	7,406	9,102
% margin	37.1%	41.7%	47.3%	47.9%	39.3%	33.9%	34.1%	35.2%	37.0%	38.3%	36.4%	41.2%	45.3%
SG&A	-1,110	-1,322	-1,454	-1,632	-1,649	-1,632	-429	-444	-470	-475	-1,818	-1,900	-1,900
R&D	-1,548	-1,723	-1,901	-2,100	-2,078	-2,043	-520	-551	-560	-560	-2,191	-2,170	-2,240
Other income/expense	202	141	159	56	182	228	45	25	50	50	170	160	160
Impairment / Restructuring	-10	-3	0	0	0	-376	-71	-58	-2	-2	-133	-8	-8
Operating income adj.	1,323	2,419	4,439	4,611	1,676	543	171	269	419	644	1,503	3,496	5,122
% margin	12.9%	19.0%	27.5%	26.7%	12.6%	4.6%	5.5%	7.7%	11.1%	15.2%	10.3%	19.5%	25.5%
Interest expense, net	-20	-29	58	171	217	168	26	26	0	0	52	1	1
Income from investment	-11	-10	-11	-20	-15	-19	-4	-4	-2	-2	-12	-8	-8
Gain on financial instruments	-25	-43	0	0	-1	76	-39	46	0	0	7	0	0
PBT adj.	1,267	2,337	4,486	4,762	1,877	768	154	337	417	642	1,550	3,489	5,115
Income tax	-160	-331	-519	-540	-312	-220	-10	-30	-66	-102	-209	-557	-817
% tax rate	0	0	0	0	0	1	0	0	0	0	0	0	0
Net Income	1,108	2,006	3,967	4,222	1,565	180	43	225	349	538	1,154	2,924	4,290
Minority Interest	-2	-6	-6	-11	-7	-14	-6	-3	0	0	-9	0	0
Net Income to parent	1,106	2,000	3,961	4,211	1,558	166	37	222	349	538	1,145	2,924	4,290
Net Income to parent adj.	1,106	2,000	3,961	4,211	1,558	534	122	291	350	539	1,302	2,930	4,296
EPS - diluted	1.20	2.17	4.19	4.46	1.66	0.18	0.04	0.24	0.38	0.58	1.23	3.15	4.62
EPS adj. - diluted	1.20	2.17	4.19	4.46	1.66	0.58	0.13	0.31	0.38	0.58	1.40	3.16	4.63

Source: UBS estimates, Company data

Figure 5: UBS model - STMicroelectronics - Cash Flow Statement (\$m)

USDm	2020	2021	2022	2023	2024	2025	Q1 '26	Q2 '26	Q3 '26E	Q4 '26E	2026E	2027E	2028E
EBIT adj.	1,323	2,419	4,439	4,611	1,676	543	171	269	419	644	1,503	3,496	5,122
D&A	923	1,045	1,216	1,561	1,760	1,854	454	492	548	698	2,192	2,335	2,212
- Change in inventories	-84	-187	-650	-71	-167	-172	-3	-42	-78	-325	-448	-361	-396
- Change in receivables	-85	-294	-211	239	-18	4	-75	-247	409	-19	68	-377	-203
- Change in payables	216	416	540	-266	-533	164	-51	338	-44	29	272	177	194
Change in NWC	47	-65	-321	-98	-718	-4	-129	49	287	-315	-108	-562	-405
Change in other assets	-331	172	-73	-470	151	-456	-94	-70	0	0	-164	0	0
Stock based comp	30	30	30	30	0	0	0	0	8	23	30	30	30
Other	281	-181	372	727	191	266	116	-234	-4	-18	-140	-16	-16
Cash tax paid	-160	-331	-519	-540	-312	-220	-10	-30	-66	-102	-209	-557	-817
Cash interest paid	-20	-29	58	171	217	168	26	26	0	0	52	1	1
Net cash from ops	2,093	3,060	5,202	5,992	2,965	2,151	534	502	1,191	929	3,157	4,727	6,126
Capex	-1,278	-1,828	-3,524	-4,112	-2,642	-1,843	-379	-419	-548	-846	-2,192	-2,514	-2,413
% of sales	-12.5%	-14.3%	-21.9%	-23.8%	-19.9%	-15.6%	-12.2%	-12.0%	-14.5%	-19.9%	-15.0%	-14.0%	-12.0%
Other	-764	310	-1,067	-1,655	-1,100	1,801	-1,495	-267	0	0	-1,762	0	0
Net cash from investing	-2,042	-1,518	-4,591	-5,767	-3,742	-42	-1,874	-686	-548	-846	-3,954	-2,514	-2,413
Increase (Decrease) in debt	-229	-110	210	252	799	-1,512	457	2,200	0	0	2,657	0	0
Dividends	-168	-205	-212	-222	-282	-321	-71	-75	-53	-53	-253	-252	-277
Other	744	-999	-565	-296	-672	273	12	-733	0	0	-721	0	0
Net cash from financing	347	-1,314	-567	-266	-155	-1,560	398	1,392	-53	-53	1,683	-252	-277
Effect of fx	11	-9	-11	5	-8	6	-6	-1	0	7	0	0	0
Net change in cash	409	219	33	-36	-940	555	-948	1,207	590	37	886	1,960	3,436
Enterprise FCF - UBS	886	1,270	1,321	1,452	-236	330	107	361	647	101	1,217	2,228	3,729
% margin	8.7%	10.0%	8.2%	8.4%	-1.8%	2.8%	3.5%	10.4%	17.1%	2.4%	8.3%	12.4%	18.5%

Source: UBS estimates, Company data

Figure 6: UBS model - STMicroelectronics - Balance Sheet (\$m)

USDm	2020	2021	2022	2023	2024	2025	Q1 '26	Q2 '26	Q3 '26E	Q4 '26E	2026E	2027E	2028E
Cash & equivalents	3,720	3,516	4,518	6,083	6,184	4,922	4,571	6,032	6,622	6,659	6,659	8,619	12,056
Accounts receivable	1,465	1,759	1,970	1,731	1,749	1,745	1,820	2,067	1,658	1,677	1,677	2,054	2,257
Inventories	1,841	1,972	2,583	2,698	2,794	3,136	3,173	3,188	3,266	3,591	3,591	3,952	4,348
Other current assets	584	581	734	1,295	1,007	1,468	1,263	1,410	1,410	1,410	1,410	1,410	1,410
Current assets	7,610	7,828	9,805	11,807	11,734	11,271	10,827	12,697	12,956	13,337	13,337	16,035	20,071
Goodwill	330	313	297	303	290	315	707	705	705	705	705	705	705
Other intangible assets	445	438	405	367	346	324	750	747	747	747	747	747	747
PP&E	4,596	5,660	8,201	10,554	10,877	11,058	10,959	10,895	10,895	11,043	11,043	11,223	11,424
Other non-current assets	1,473	1,301	1,274	1,422	1,496	1,832	1,887	1,988	1,988	1,988	1,988	1,988	1,988
Long-term assets	6,844	7,712	10,177	12,646	13,009	13,529	14,303	14,335	14,335	14,483	14,483	14,663	14,864
Total assets	14,454	15,540	19,982	24,453	24,743	24,800	25,130	27,032	27,291	27,820	27,820	30,698	34,934
Short-term debt	795	143	175	217	990	298	319	1,063	1,063	1,063	1,063	1,063	1,063
Accounts payable	1,166	1,582	2,122	1,856	1,323	1,487	1,436	1,774	1,730	1,759	1,759	1,936	2,130
Other current liabilities	1,008	1,156	1,445	1,579	1,394	1,529	1,456	1,671	1,671	1,671	1,671	1,671	1,671
Accrued income tax	84	68	95	78	66	37	57	62	62	62	62	62	62
Current Liabilities	3,053	2,949	3,837	3,730	3,773	3,351	3,268	4,570	4,526	4,555	4,555	4,732	4,926
Long-term debt	1,826	2,396	2,542	2,710	1,963	1,835	2,250	2,962	2,962	2,962	2,962	2,962	2,962
Post-retirement benefits	506	442	331	372	377	403	380	382	382	382	382	382	382
Other non-current liabilities	563	480	514	789	951	986	1,061	1,068	1,068	1,061	1,061	1,061	1,061
Long-term liabilities	2,895	3,318	3,387	3,871	3,291	3,224	3,691	4,412	4,412	4,405	4,405	4,405	4,405
Total liabilities	5,948	6,267	7,224	7,601	7,064	6,575	6,959	8,982	8,938	8,960	8,960	9,137	9,331
Common stock	1,157	1,157	1,157	1,157	1,157	1,157	1,157	1,157	1,157	1,157	1,157	1,157	1,157
Capital surplus	3,062	2,533	2,631	2,866	3,088	3,281	3,331	3,373	3,373	3,373	3,373	3,373	3,373
Retained earnings	3,599	5,223	8,713	12,470	13,459	13,082	13,118	12,888	13,183	13,668	13,668	16,339	20,352
Other comprehensive	723	496	460	613	236	945	798	732	740	762	762	792	822
Treasury stock	-93	-200	-268	-377	-491	-637	-636	-506	-506	-506	-506	-506	-506
Noncontrolling interest	58	64	65	123	230	397	403	406	406	406	406	406	406
Total Equity	8,506	9,273	12,758	16,852	17,679	18,225	18,171	18,050	18,353	18,860	18,860	21,561	25,604
Total Liabilities and Equity	14,454	15,540	19,982	24,453	24,743	24,800	25,130	27,032	27,291	27,820	27,820	30,698	34,934

Source: UBS estimates, Company data

STMicroelectronics (STMPA.PA)

	12/23	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
Income Statement (US\$m)										
Revenues	17,286	13,269	11,799	14,614	23.9	17,959	22.9	20,105	22,072	23,959
Gross profit	8,287	5,221	3,998	5,288	32.3	7,406	40.0	9,102	10,020	10,833
EBITDA (UBS)	6,172	3,436	2,397	3,508	46.4	5,822	66.0	7,326	7,965	8,868
Depreciation & amortisation	(1,561)	(1,760)	(1,854)	(2,192)	-18.2	(2,335)	-6.5	(2,212)	(2,097)	(2,276)
EBIT (UBS)	4,611	1,676	543	1,316	142.4	3,488	165.0	5,114	5,868	6,592
Associates & investment income	0	0	0	0	-	0	-	0	0	0
Other non-operating income	(20)	(16)	57	(5)	-	(8)	-60.0	(8)	(8)	(8)
Net interest	171	217	168	52	-69.0	1	-98.1	1	1	1
Exceptionals (incl goodwill)	0	0	0	0	-	0	-	0	0	0
Pre-tax profit	4,762	1,877	768	1,363	77.5	3,481	155.3	5,107	5,861	6,585
Tax	(540)	(312)	(220)	(209)	5.1	(557)	-166.7	(817)	(938)	(1,054)
Profit after tax	4,222	1,565	548	1,154	110.7	2,924	153.3	4,290	4,923	5,532
Preference dividends	0	0	0	0	-	0	-	0	0	0
Minorities	(11)	(7)	(14)	(9)	35.7	0	-	0	0	0
Extraordinary items	0	0	0	0	-	0	-	0	0	0
Net earnings (local GAAP)	4,211	1,558	534	1,145	114.5	2,924	155.3	4,290	4,923	5,532
Net earnings (UBS)	4,211	1,558	534	1,302	143.9	2,930	125.0	4,296	4,929	5,538
Tax rate (%)	11.3	16.6	28.6	15.3	-46.5	16.0	4.4	16.0	16.0	16.0
Per Share (US\$)										
EPS (UBS, diluted)	4.46	1.66	0.58	1.40	142.4	3.16	125.0	4.63	5.31	5.97
EPS (local GAAP, diluted)	4.46	1.66	0.58	1.23	113.2	3.15	155.3	4.62	5.31	5.96
EPS (UBS, basic)	4.66	1.72	0.61	1.46	139.4	3.29	125.0	4.83	5.54	6.22
DPS (net) (US\$)	0.25	0.24	0.35	0.26	-27.1	0.28	10.0	0.31	0.34	0.38
Cash EPS (UBS, diluted) ¹	6.11	3.53	2.59	3.77	45.4	5.67	50.7	7.01	7.57	8.42
Book value per share	18.23	19.01	20.41	20.73	1.6	23.77	14.6	28.31	33.53	39.41
Average shares (diluted)	944	940	922	928	0.6	928	0.0	928	928	928
Balance Sheet (US\$m)										
Net tangible fixed assets	10,554	10,877	11,058	11,043	-0.1	11,223	1.6	11,424	11,534	11,654
Net intangible fixed assets	670	636	639	1,452	127.2	1,452	0.0	1,452	1,452	1,452
Investments	22	71	152	144	-5.3	144	0.0	144	144	144
Other assets	1,400	1,425	1,680	1,844	9.8	1,844	0.0	1,844	1,844	1,844
Total fixed assets	12,646	13,009	13,529	14,483	7.1	14,663	1.2	14,864	14,974	15,094
Net working capital	2,211	2,767	3,296	3,186	-3.3	3,747	17.6	4,152	5,347	5,788
Cash	6,083	6,184	4,922	6,659	35.3	8,619	29.4	12,056	15,399	20,064
Short term debt	(217)	(990)	(298)	(1,063)	-256.7	(1,063)	0.0	(1,063)	(1,063)	(1,063)
Long term debt	(2,710)	(1,963)	(1,835)	(2,962)	-61.4	(2,962)	0.0	(2,962)	(2,962)	(2,962)
Preferred shares	0	0	0	0	-	0	-	0	0	0
Net (debt) / cash	3,156	3,231	2,789	2,634	-5.6	4,594	74.4	8,031	11,374	16,039
Other debt-deemed liabilities	(372)	(377)	(403)	(382)	5.2	(382)	0.0	(382)	(382)	(382)
Provisions & non-debt deemed liabs	(789)	(951)	(986)	(1,061)	-7.6	(1,061)	0.0	(1,061)	(1,061)	(1,061)
Total equity	16,852	17,679	18,225	18,860	3.5	21,561	14.3	25,604	30,252	35,478
Minority interests	(123)	(230)	(397)	(406)	-2.3	(406)	0.0	(406)	(406)	(406)
Common s/h equity	16,729	17,449	17,828	18,454	3.5	21,155	14.6	25,198	29,846	35,072
Operating invested capital	14,046	14,754	15,687	16,464	5.0	17,205	4.5	17,811	19,116	19,677
Total capital employed	14,068	14,825	15,839	16,608	4.9	17,349	4.5	17,955	19,260	19,821
Cash Flow (US\$m)										
EBIT (UBS)	4,611	1,676	543	1,316	142.4	3,488	165.0	5,114	5,868	6,592
Depreciation & amortisation	1,561	1,760	1,854	2,192	18.2	2,335	6.5	2,212	2,097	2,276
Net change in working capital	(98)	(718)	(4)	(108)	NM	(562)	NM	(405)	(1,194)	(441)
Net interest	171	217	168	52	-69.0	1	-98.1	1	1	1
Tax paid	(540)	(312)	(220)	(209)	5.1	(557)	-166.7	(817)	(938)	(1,054)
Other operating	287	342	(190)	(87)	54.2	22	-	22	22	22
Operating cash flow	5,992	2,965	2,151	3,157	46.8	4,727	49.7	6,126	5,855	7,396
Tangible capital expenditure	(4,112)	(2,642)	(1,843)	(2,192)	-18.9	(2,514)	-14.7	(2,413)	(2,207)	(2,396)
Intangible capital expenditure	0	0	0	0	-	0	-	0	0	0
Equity free cash flow	1,880	323	308	965	213.2	2,213	129.4	3,714	3,648	5,000
Net (acquisitions) & disposals	0	0	0	0	-	0	-	0	0	0
Equity dividends paid	(222)	(282)	(321)	(253)	21.2	(252)	0.2	(277)	(305)	(336)
Share issues / (buybacks)	0	0	0	0	-	0	-	0	0	0
Net other cash flows	(1,946)	(1,780)	2,080	(2,483)	-	0	-	0	0	0
Cash flow (inc)/dec in net debt	(288)	(1,739)	2,067	(1,771)	-	1,960	-	3,436	3,343	4,665
FX / non cash items	1,643	1,814	(2,509)	1,616	-	0	-	0	0	0
Balance sheet (inc)/dec in net debt	1,355	75	(442)	(155)	64.9	1,960	-	3,436	3,343	4,665

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts.¹ Cash EPS (UBS, diluted) is calculated using UBS net income adding back depreciation and amortization.

STMicroelectronics (STMPA.PA)

Valuation (x)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
P/E (local GAAP, diluted)	10.4	22.0	44.5	42.0	16.2	11.0	9.6	8.6
P/E (UBS, diluted)	10.4	22.0	44.5	37.0	16.2	11.0	9.6	8.6
P/CEPS	7.2	9.9	9.4	13.2	8.6	7.0	6.5	5.8
Equity FCF (UBS) yield %	4.4	1.0	1.3	2.1	5.0	8.3	8.2	11.2
Dividend yield (net) %	0.5	0.7	1.3	0.5	0.6	0.6	0.7	0.7
P/BV	2.6	1.8	1.3	2.5	2.1	1.8	1.5	1.3
EV/revenues (core)	2.3	2.3	1.8	2.9	2.4	2.1	1.9	1.8
EV/EBITDA (UBS core)	6.5	8.9	8.9	12.1	7.3	5.8	5.3	4.8
EV/EBIT (core)	8.8	18.3	39.4	32.1	12.1	8.3	7.2	6.4
EV/OpFCF (core)	6.5	8.9	8.9	12.1	7.3	5.8	5.3	4.8
EV/op. invested capital	3.2	2.1	1.4	2.6	2.5	2.4	2.3	2.2
Enterprise value (US\$m)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Market cap.	42,474	33,512	23,980	44,614	44,614	44,614	44,614	44,614
Net debt (cash)	(2,479)	(3,194)	(3,010)	(2,711)	(2,711)	(2,711)	(2,711)	(2,711)
Buy out of minorities	22	71	152	144	144	144	144	144
Pension provisions/other	372	377	403	382	382	382	382	382
Total enterprise value	40,389	30,767	21,525	42,428	42,428	42,428	42,428	42,428
Non core assets	(22)	(71)	(152)	(144)	(144)	(144)	(144)	(144)
Core enterprise value	40,367	30,696	21,373	42,284	42,284	42,284	42,284	42,284
Growth (%)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Revenue	7.2	(23.2)	(11.1)	23.9	22.9	11.9	9.8	8.5
EBITDA (UBS)	9.1	(44.3)	(30.2)	46.4	66.0	25.8	8.7	11.3
EBIT (UBS)	3.9	(63.7)	(67.6)	142.4	165.0	46.6	14.7	12.3
EPS (UBS, diluted)	6.5	(62.8)	(65.1)	142.4	125.0	46.6	14.7	12.3
Net DPS	9.5	(3.3)	47.3	(27.1)	10.0	10.0	10.0	10.0
Margins & Profitability (%)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Gross profit margin	47.9	39.3	33.9	36.2	41.2	45.3	45.4	45.2
EBITDA margin	35.7	25.9	20.3	24.0	32.4	36.4	36.1	37.0
EBIT (UBS) margin	26.7	12.6	4.6	9.0	19.4	25.4	26.6	27.5
Net earnings (UBS) margin	24.4	11.7	4.5	8.9	16.3	21.4	22.3	23.1
ROIC (EBIT)	36.4	11.6	3.6	8.2	20.7	29.2	31.8	34.0
ROIC post tax	32.3	9.7	2.5	6.9	17.4	24.5	26.7	28.5
ROE (UBS)	28.6	9.1	3.0	7.2	14.8	18.5	17.9	17.1
Capital structure & Coverage (x)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Net debt / EBITDA	(0.5)	(0.9)	(1.2)	(0.8)	(0.8)	(1.1)	(1.4)	(1.8)
Net debt / total equity %	(18.7)	(18.3)	(15.3)	(14.0)	(21.3)	(31.4)	(37.6)	(45.2)
Net debt / (net debt + total equity) %	(23.0)	(22.4)	(18.1)	(16.2)	(27.1)	(45.7)	(60.2)	(82.5)
Net debt/EV %	(6.1)	(10.4)	(14.0)	(6.4)	(8.5)	(14.9)	(22.9)	(32.3)
Capex / depreciation %	NM	150.1	99.4	100.0	107.7	109.1	105.3	105.3
Capex / revenue %	23.8	19.9	15.6	15.0	14.0	12.0	10.0	10.0
EBIT / net interest	-	-	-	-	-	-	-	-
Dividend cover (UBS)	18.8	7.2	1.7	5.7	11.6	15.5	16.2	16.5
Div. payout ratio (UBS) %	5.3	13.9	57.9	17.6	8.6	6.5	6.2	6.1
Revenues by division (US\$m)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Others	17,286	13,269	11,799	14,614	17,959	20,105	22,072	23,959
Total	17,286	13,269	11,799	14,614	17,959	20,105	22,072	23,959
EBIT (UBS) by division (US\$m)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Others	4,611	1,676	543	1,316	3,488	5,114	5,868	6,592
Total	4,611	1,676	543	1,316	3,488	5,114	5,868	6,592

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts.

Forecast returns

Forecast price appreciation	78.3%
Forecast dividend yield	0.5%
Forecast stock return	78.8%
Market return assumption	8.3%
Forecast excess return	70.5%

Company Description

STMicroelectronics (STM) is one of the top 10 largest global semi vendors by revenue. It was formed in 1987 as the combination of SGS Microelettronica and the non-military business of Thomson Semiconducteurs. Following several key divestments/closures (eg, ST-Ericsson, STBs), STM still addresses a broad array of products (analogue, digital, mixed-signal, MEMs applications) across the comms, autos, industrial and consumer electronics markets. The company has helped innovate a number of technologies such as 3D sensing and silicon carbide solutions.

Valuation Method and Risk Statement

Risk factors include GDP growth rates, continuing weakening of US\$/EURO exchange rate, technology product life cycles, capacity growth, demand and supply and utilisation rates which contribute to general semiconductor growth. STMicro's biggest medium-term risk is centred on being able to deliver new image sensing products into smartphones. Our valuation for STMicro is based on a DCF methodology with a WACC of 9% and a terminal growth rate of 2%.

Quantitative Research Review

UBS Global Research publishes a quantitative assessment of its analysts' responses to certain questions about the likelihood of an occurrence of a number of short term factors in a product known as the 'Quantitative Research Review'. The views for this month can be found below. Views contained in this assessment on a particular stock reflect only the views on those short term factors which are a different timeframe to the 12-month timeframe reflected in any equity rating set out in this note. For previous responses please make reference to (i) previous UBS Global Research reports; and (ii) where no applicable research report was published that month, the Quantitative Research Review which can be found at <https://neo.ubs.com/quantitative>, or contact your UBS sales representative for access to the report or the Quantitative Research Team on ubs-quant-answers@ubs.com. A consolidated report which contains all responses is also available and again you should contact your UBS sales representative for details and pricing or the Quantitative Research Team on the email above.

STMicroelectronics

Question	Response
1. Is the industry structure facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting worse, 3 = no change, 5 = getting better, N/A = no view)	4
2. Is the regulatory/government environment facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting tougher, 3 = no change, 5 = getting better, N/A = no view)	3
3. Over the last 3-6 months in broad terms have things been improving/no change/getting worse for this stock? Rate on a scale of 1-5 (1 = getting a lot worse, 3 = not much change, 5 = getting a lot better, N/A = no view)	3
4. Relative to the current CONSENSUS EPS forecast, is the next company EPS update likely to lead to: (1 = negative surprise vs consensus, 3 = in-line with consensus, 5 = positive surprise vs consensus expectations, N/A = no view)	3
5. What's driving the difference?	
6. Relative to YOUR current earnings forecast, is there relatively greater risk at the next earnings result of: (1 = downside skew risk to earnings, 3 = equal upside or downside risk to earnings, 5 = upside skew risk to earnings, N/A = no view)	3
7. What's driving the difference?	
8. Is there an upcoming catalyst for the company over the next three months?	No Catalyst
9. Is there an actual or approximate date for the catalyst?	
10. Is the catalyst date an actual or approximate date?	
11. What is the catalyst?	

Required Disclosures

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UBS Global Research: Global Equity Rating Definitions

12-Month Rating	Definition	Coverage ¹	IB Services ²
Buy	FSR is > 6% above the MRA.	55%	24%
Neutral	FSR is between -6% and 6% of the MRA.	40%	21%
Sell	FSR is > 6% below the MRA.	6%	21%

Source: UBS. Rating allocations are as of 30 June 2026.

1:Percentage of companies under coverage globally within the 12-month rating category.

2:Percentage of companies within the 12-month rating category for which investment banking (IB) services were provided within the past 12 months.

KEY DEFINITIONS:**Forecast Stock Return (FSR)** is defined as expected percentage price appreciation plus gross dividend yield over the next 12 months. In some cases, this yield may be based on accrued dividends. **Market Return Assumption (MRA)** is defined as the one-year local market interest rate plus 5% (a proxy for, and not a forecast of, the equity risk premium). **Under Review (UR)** Stocks may be flagged as UR by the analyst, indicating that the stock's price target and/or rating are subject to possible change in the near term, usually in response to an event that may affect the investment case or valuation. **Equity Price Targets** have an investment horizon of 12 months.

EXCEPTIONS AND SPECIAL CASES:**UK and European Investment Fund ratings and definitions are:** **Buy:** Positive on factors such as structure, management, performance record, discount; **Neutral:** Neutral on factors such as structure, management, performance record, discount; **Sell:** Negative on factors such as structure, management, performance record, discount. **Core Banding Exceptions (CBE):** Exceptions to the standard +/-6% bands may be granted by the Investment Review Consultation (IRC). Factors considered by the IRC include the stock's volatility and the credit spread of the respective company's debt. As a result, stocks deemed to be very high or low risk may be subject to higher or lower bands as they relate to the rating. When such exceptions apply, they will be identified in the Company Disclosures table in the relevant research piece.

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Company Disclosures

Company Name	Reuters	12-month rating	Price	Price date
STMicroelectronics ^{5,16,28}	STMPA.PA	Buy	€44.88	24 Sep 2026

Source: UBS Global Research; LSEG Eikon. All prices as of local market close. Ratings in this table are the most current published ratings prior to this report. They may be more recent than the stock pricing date.

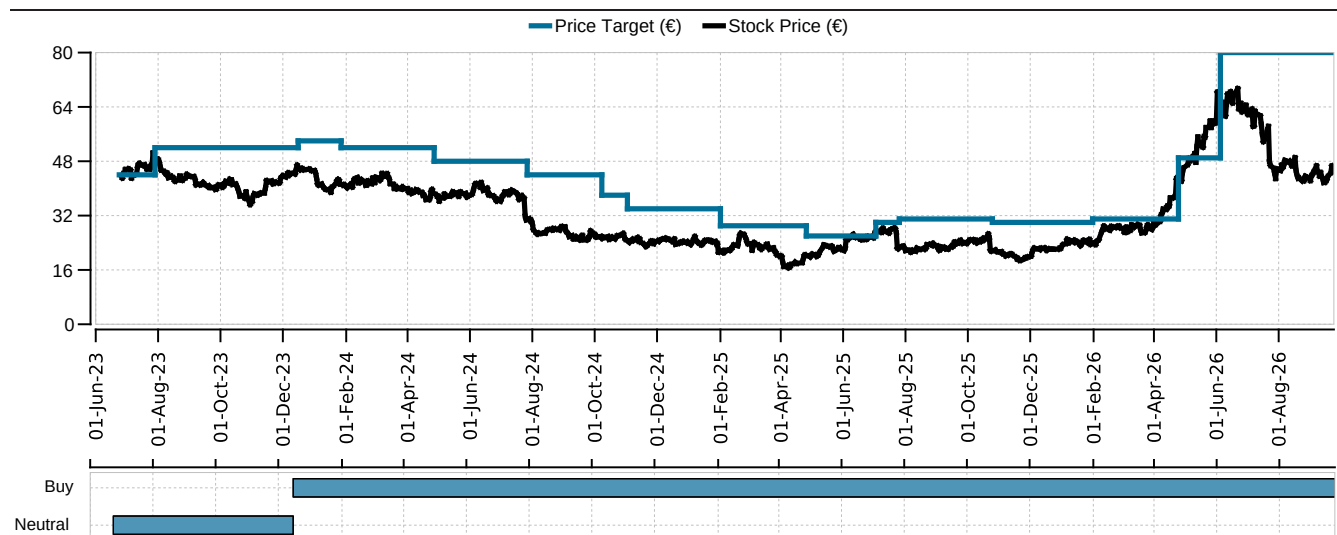
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STMicroelectronics (€)



Date	Stock Price (€)	Price Target (€)	Rating
2023-06-23	42.64	44.00	Neutral
2023-07-28	48.40	52.00	Neutral
2023-12-15	46.82	54.00	Buy
2024-01-26	41.30	52.00	Buy
2024-04-26	38.67	48.00	Buy
2024-07-26	30.72	44.00	Buy
2024-10-07	25.78	38.00	Buy
2024-11-01	24.85	34.00	Buy
2025-01-31	21.83	29.00	Buy
2025-04-25	20.42	26.00	Buy
2025-07-02	26.83	30.00	Buy
2025-07-25	22.25	31.00	Buy
2025-10-24	21.56	30.00	Buy
2026-01-30	23.84	31.00	Buy
2026-04-24	43.37	49.00	Buy
2026-06-04	66.72	80.00	Buy

Source: UBS Global Research; LSEG Eikon as of 24-Sep-2026. All prices as of local market close. Ratings as of date shown.

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